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WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

# Less Earnings Excitement This Time Around

October 4, 2017

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**Last Week's S&P 500 Index:**
+0.7%

**Key Takeaways**

- *We are two weeks away from the start of the third quarter earnings season. Many pundits are expecting another big upside surprise from the S&P 500 Index.*
- *Our analysis suggests a solid quarter but a growth rate that is below the first half of the year.*

The first two quarters of 2017 featured S&P 500 earnings growth that was much better than we (or the "Street") expected. Companies continued to operate at high margins as compensation and other costs held steady in many industries. The Information Technology and Financial sectors posted earnings that were well above consensus estimates which, given their large representation in the capitalization-weighted S&P 500 Index, helped drive earnings forward. And, of course, the bounce in crude oil prices had a huge impact in year-over-year earnings comparisons for the Energy sector. Even though the Energy sector represents just a touch more than 6 percent of the total market capitalization of the S&P 500, earnings in the second quarter grew nearly 240 percent versus the second quarter of 2016. That was a large contributor to the bigger-than-expected earnings growth rates in the first half of the year.

So what about the upcoming third-quarter earnings reporting season? Is the potential there for another quarter of meaningful upside surprise? The Energy sector likely continued to help push earnings ahead in the third quarter. As we work through the numbers, it appears growth in that sector may be in the area of 130 percent on a year-over-year basis. The Technology sector looks to post growth near 10 percent as a number of key global economies slowly grind ahead at a slightly faster pace. In addition, one of our favored sectors, Industrials, may see earnings gains in the 6 percent to 8 percent range. But outside of those three sectors, the prospects for meaningful growth or a big upside surprise seem limited. In fact, overall, we believe three of the 11 sectors have the potential to see lower earnings in the third quarter than the year-ago period.

Our Macro team's expectations continue to call for modest domestic growth with only modest inflation through the end of next year. International growth is perking up as the Eurozone and Japan have seen their economies improve this year. China's economic strategy of trying to engineer a "controlled slowdown" still appears to be intact. The Federal Reserve is in the midst of a rate-hiking cycle, and there is some speculation that the European Central Bank (ECB) may slow or "taper" its pace of debt purchases over the next six months or so.

Given that current and expected environment, we continue to be focused on domestic valuations that are stretched relative to the longer-term median, even when taking low interest rates into account. Based on our forward 12-month earnings estimate of approximately $134 per share, the S&P 500 trades at a price-to-earnings (P/E) multiple of nearly 19x versus a 30 year median of 16.7x. If we thought U.S. economic growth was about to meaningfully accelerate, we might have a different outlook, but that is not the case. Fed rate-hike cycles also tend to be a headwind for multiples, especially when economic growth is modest.

Earnings reporting season for the third quarter will begin in earnest in a couple of weeks. The financial media will be honed in on the prospects for a big upside surprise in overall earnings. But for this strategist, the bottom line is there will likely be far less earnings excitement this time around.

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